STAY AWAY - Sheng Siong - Buy Side Report Group 02

Yiru Wang, I-Wen Chen, Daniel Koerbel, Riddhi Agarwal, Jingxi Yang

Sheng Siong – Stay Away - Stable firm trading at a premium offering limited upside in the near future

We are recommending to **stay away** from Sheng Siong (XSES: OV8) because the company's superior profitability, growth prospects and cost-conscious business model are fully reflected in its premium valuation, thus limiting near-term price appreciation. In the base case Sheng Siong reaches a price of 2.12 SGD in one year, compared to the current market price of 2.09 SGD as of 12.9.2025 representing a base upside of 3%, not enough to justify entry. The model is based on a mix of PE multiples and DCF models. Even in a bull case, only a 15% upside is possible as per our estimations, with a downside drop of 19% in case conditions worsen. Sheng Siong's strong fundamentals are an advantage over its peers, this is however already reflected in the current market price, visible in the higher multiples compared to the peer group. In the highly competitive supermarket industry, the retailer tries to position itself as a low-cost alternative targeting the price sensitive consumers. The firm is established, but given the saturated environment, growth is likely going to be slow, with the focus on upkeeping the current margins and slowly increasing presence with more locations, a faster growth in China would likely justify faster price appreciation. But we currently do not see growth to further accelerate compared to the market estimates.

Sheng Siong – Singapore local low-cost supermarket in a competitive industry

According to the Singapore Department of Statistics, Singapore's supermarket and hypermarket segment recorded revenues of S$8.19 billion in 2023, marking its second consecutive year of decline. This indicates that while overall retail continues to grow modestly, supermarkets are experiencing a normalization of demand following the pandemic-driven surge. With competition intensifying from both traditional players and online grocery platforms, the segment appears mature and saturated, with limited upside potential compared to earlier years.

Sheng Siong is one of Singapore's largest supermarket operators, with 77 stores nationwide and an estimated 20% market share, compared to FairPrice's dominant 40% (DBS, 2024). The company positions itself as a community supermarket, concentrating on HDB estates and serving price-sensitive households. Its customer-focused discount model reinforces its value-for-money positioning. Supported by efficient supplier relationships and rental advantages from HDB locations, Sheng Siong maintains peer-leading profitability despite the increasingly competitive environment. In Singapore, Sheng Siong's expansion is anchored on securing new retail spaces in HDB estates while diversifying its supplier base to mitigate external risks. Its store network is denser than Giant and Prime within the same service radius and offers broader HDB coverage than FairPrice, enhancing community reach. Notably, one of its Independent Directors previously served as Deputy CEO of the HDB (2004–2009), providing valuable expertise in site selection. Internationally, Sheng Siong entered China in 2017 but has expanded cautiously, opening only six stores in Kunming, Yunnan Province over eight years. Current efforts remain focused on building brand presence and strengthening community engagement. While the company demonstrates financial resilience, its growth trajectory is expected to normalize in line with industry conditions, with pandemic-era gains unlikely to be repeated.

Sheng Siong – Strong financials with steady growth

	2022	*2023*	*2024*	*2025E*	*2024H1*	*2025H1*
Revenue (S$ m)	1,339.46	1,367.72	1,428.72	1,547.07	714.20	764.68
YoY Growth	-2.21%	2.11%	4.46%	8.28%	-	7.10%
Gross Margin	29.38%	30.02%	30.48%	30.90%	30.11%	30.81%
Operating Margin	11.79%	10.84%	10.52%	11.29%	11.21%	11.11%
Net Margin	9.95%	9.77%	9.63%	9.61%	9.80%	9.46%
Net Profit (S$ m)	133.30	133.65	137.52	148.67	69.97	72.35
CFO (S$ m)	166.81	177.07	218.99	-	93.03	86.39
Levered FCF (S$ m)	125.51	131.42	169.03	-	-	-
DPS (S$)	0.062	0.063	0.064	-	-	-
ROE	30.67%	28.15%	26.57%	-	-	-
Inventory Turnover	9.48	9.92	10.44	-	5.9	6.19
D/E	21.01%	20.39%	23.33%	-	-	-

Source: Company Reports, Team Analysis

The revenue trend highlights a shift from post-pandemic stabilization to a renewed expansion phase, supported by new store openings and resilient consumer demand. Revenue declined by 2.2% YoY in 2022 to S$1,339.5 million as the business normalized from the COVID-driven consumption spike, however growth resumed in 2023 at +2.1% YoY and accelerated further in 2024 with revenue of S$1,428.7 million (+4.5% YoY). Over the 2022–2024 period, this translates to a revenue CAGR of 3.3%. For 2025 the estimates are at S$1,547.1 million, implying +8.3% YoY growth. However, this is already priced in, as seen by recent revenue multiple increases. We also do not believe that the growth will continue, as this seems to be the post covid correction and will rather normalize in the long term.
Sheng Siong demonstrated steady financial growth between 2023 and 2024 with gross margin improving from 30.02% to 30.48%, underscoring continued cost discipline and margin optimization. Looking ahead, gross margin is projected at 30.90% for 2025, with interim results showing 30.81% in 2025H1, this supports our expectation of margin staying around the 30% with the future increased pressure being a potential risk factor. Net profit is expected to reach S$148.67 million in 2025, supported by the S$72.35 million achieved in the first half, a sign of stability, whether this will be able to be upkept long term is too be seen, the market seems to expect further profitability increases, but we think that the margin pressures from the competitive industry will reduce the probability.

Operating cash flow has consistently outpaced net profit, reflecting strong cash conversion. CFO rose from S$166.8 million in 2022 to S$219.0 million in 2024, marking a 31% increase over two years compared with only +6.7% growth in revenue. This highlights effective working capital management and the cash-rich nature of the supermarket model. Levered free cash flow followed a similar trajectory, rising by 34.66% from S$125.5 million in 2022 to S$169.0 million in 2024. The consistent expansion of free cash flow demonstrates capacity to fund dividends and expansion simultaneously. However, half-year figures point to some moderation: CFO was S$93.0 million in 2024H1 but declined to S$86.4 million in 2025H1. While full-year cash flows remain robust, the softer interim trend suggests that year-to-year momentum in cash generation may be less pronounced than in the past, reflecting the normalization of operating conditions post-pandemic, another sign of the growth slowing.

In 2024, the debt-to-equity ratio rose slightly to 23.33% yet remained within a healthy range, underscoring a sound capital structure. Inventory turnover improved from 9.92 in 2023 to 10.44 in 2024, reflecting faster stock movement that is particularly important in the supermarket industry, where high product freshness and minimal wastage are critical to sustaining margins. For 2025H1, inventory turnover reached 6.19, up from 5.9 in 2024H1, indicating continued efficiency in managing perishable goods. These factors together point to a conservative balance sheet and effective inventory discipline, which underpin Sheng Siong's defensive profile and help justify its current valuation.
Sheng Siong has maintained a stable dividend policy, with DPS increasing only marginally from S$0.062 in 2022 to S$0.064 in 2024. This consistency reflects the company's conservative capital allocation approach, balancing shareholder returns with reinvestment needs. While the gradual progression underscores resilience and sustainability, it also highlights limited near-term growth in distributions, in line with the company's steady but modest earnings trajectory.

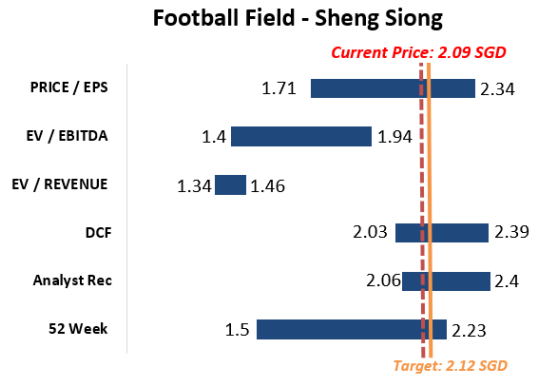
Sheng Siong – Competitive supermarket industry facing further margin pressure going forward

Sheng Siong operates in the Singaporean supermarket sector, which is characterized by razor-thin operating margins and highly intense price competition. Rising labor and utility costs, combined with higher import prices for fresh produce, put additional pressure on profitability. The high cost sensitivity of the consumers around the world is leading to persistent margin erosion. In one sense, supermarkets resist this by selling private-label products, which have more typical margins by cutting out the middleman. Sheng Siong has begun developing its own-brand business to somewhat shelter itself from structural cost pressures.

These concerns are reinforced by macro headwinds. Higher energy costs, currency fluctuations that increase the cost of imports, and Singapore wage growth led by inflation all affect profitability. Already price sensitive consumers are becoming increasingly wary due to inflation. China's decelerating consumer demand increases the riskiness of foreign expansion, where already high execution risk is exacerbated. Singapore's reliance on food imports leaves the country vulnerable to regulatory shocks. For example, Malaysia temporarily banned the export of chicken in 2022. Sheng Siong

benefits from a long-standing family leadership team whose experience and hands-on approach have been central to its strong supplier relationships and disciplined growth. However, because decision-making power is concentrated within the Lim family with roughly 57% being owned by the holding firm, questions remain about the company's ability to incorporate broader perspectives as it grows, as well as upkeep necessary transparency.

Sheng Siong – Less positive upside than the market is pricing in with risks pressuring the stable financial basis



	EV/SALES	EV/EBITDA	P/B	P/Sales	Div Yield	P/E
Sheng Siong Group Ltd	**1.81**	**13.09**	**5.06**	**1.96**	**3.49**	**21.41**
Thai Beverage PCL	1.55	10.05	1.62	0.80	5.62	9.82
CSE Global Ltd	0.69	7.49	2.00	0.55	3.54	13.85
StarHub Ltd	1.30	7.02	3.58	0.84	5.85	16.29
Belc Co Ltd	0.40	6.32	1.25	0.36	1.72	12.22
DFI Retail Group Holdings Ltd	0.80	5.87	6.54	0.52	7.14	17.22
Costco Wholesale Corp	1.41	29.03	11.91	1.44	0.53	53.40
Walmart Inc	1.19	18.41	7.92	1.13	1.02	39.50
Min	0.40	5.87	1.25	0.36	0.53	9.82
Mean	*1.14*	*12.16*	*4.98*	*0.95*	*3.61*	*22.96*
Median	*1.25*	*8.77*	*4.32*	*0.82*	*3.51*	*16.76*
Max	1.81	29.03	11.91	1.96	7.14	53.40

Source: Company Filings, Refinitiv, Team Analysis

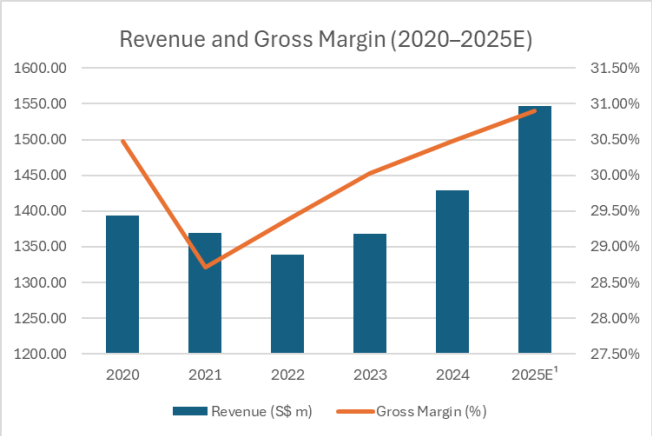
We are issuing a “stay away” for Sheng Siong (XSES: OV8). Our relative value analysis establishes a target price of 2.12 SGD with a one-year horizon based on a mix of PE multiples and DCF prices (equally weighted), a 3% upside compared to the current market price of 2.09 SGD as of 12.9.2025. We believe that the premium Sheng Siong is trading at is justified due to the stronger profitability margins e.g. ~9% NI ratio vs ~2% peer median as well as the slightly higher growth, which is also being priced in by the market as seen by the increasing multiples over the years, with EV/EBITDA rising from 10.88 in 2022 to 13.09 in 2025. However, this edge is already priced in the current market price at the ~20% premium, limiting the near-future upside. As seen in the financial analysis, we expect the growth to slow and the margins to at best stay stable. Given the limited upside due to Sheng Siong operating within a competitive industry with high margin pressure, we do not see an attractive entry point at the current level.

To benchmark Sheng Siong, we selected a variety of peers, focusing on direct peers in SEA (e.g., DFI Retail Group, Thai Beverage PCL), as well as international players (e.g., Costco, Walmart) to gain a more global perspective. The high premium in the EV/Revenue multiple is clearly explainable by a lower cost structure than its peers, as evidenced by the more in-line EV/EBITDA multiples. For P/B and dividend yield, Sheng Siong shows stable numbers in line with the peer group. We opted to use P/E multiples as our main model, as the margin advantage is already reflected. The second part of our model is a discounted cash flow model. It assumes a stable revenue growth rate of 1.5% for the next few years, slightly decreasing margins due to intense pressure, slightly slower store growth, a WACC of 6.19% (see appendix), and a PGR of 0.75%. The future revenue growth is based on historic rates, normalized to account for market saturation. This is further in line with the current market price, which ranges from 2.03 to 2.39.

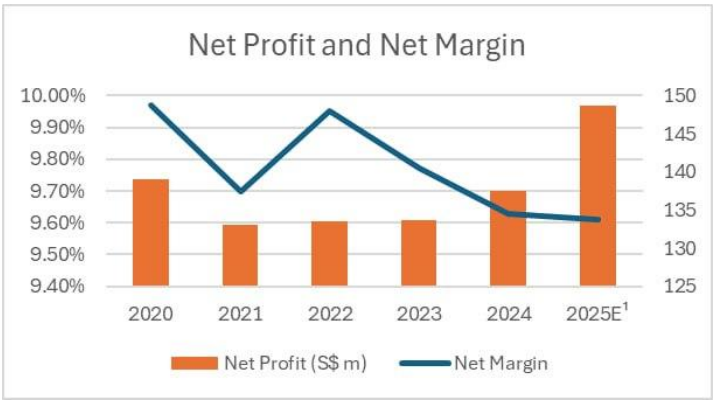
In our model, we also expect a rising investment need to be able to handle a more digital market. A stronger expansion in China would be able to change the picture, with increasing growth rates that would translate directly into a higher stock price. But given the slow historical growth and the difficult market conditions, we assume a conservative, slow expansion. Risks include more intense competition from FairPrice and cost pressures from inflation, potentially reducing margins, making the stock at risk of a downward correction in case these intensify. Furthermore, margins have been stable throughout the years, thus an upside surprise here seems unlikely. If Sheng Siong is able to continue to improve its margins, or increase stronger revenue growth, for instance by taking more market share, there would be an upside opportunity. The other analyst recommendations range from 2.06 to 2.39. Lastly, the overall market ranges are high compared to historical prices, another cautionary sign. In conclusion, the stock's strong fundamentals and traded premium are not enough to add it to the portfolio.

Appendix:

Revenue and Gross Margin Development



Net Profit and Net Margin Development



Historical PE Ratio Development vs Stock Price (5Y, Source: Refinitiv)



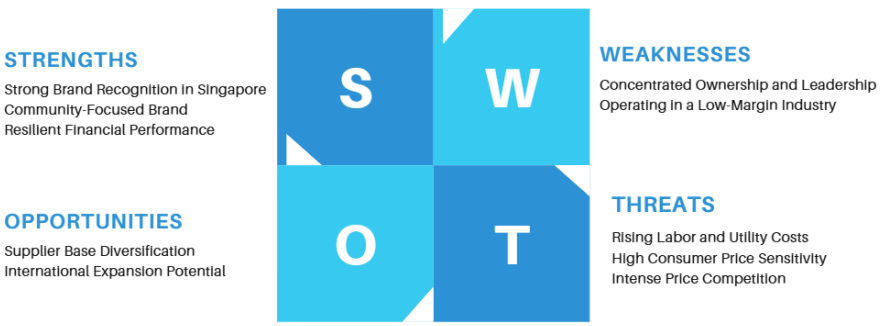
Multiple Valuation

Mutliple Share Price	EV/SALES	EV/EBITDA	PE
Using Mean	1.34	1.94	**2.34**
Using Median	1.46	1.40	**1.71**

PE Multiple Valuation combined with DCF (Equally Weighted)

2.12

SWOT Analysis



Sensitivity table DCF WACC and PGR

Sensitivity - Terminal FCF Growth Rate vs. Discount Rate and Implied Share Price from DCF Analysis:

	Terminal FCF Growth Rate:										
Discount Rate (WACC):	(1.25%)	(1.00%)	(0.75%)	(0.50%)	(0.25%)	0.00%	0.25%	0.50%	0.75%	1.00%	1.25%
6.70%	$ 1.88	$ 1.91	$ 1.94	$ 1.98	$ 2.01	**$ 2.05**	$ 2.09	$ 2.14	$ 2.19	$ 2.24	$ 2.30
6.45%	1.94	1.97	2.01	2.04	2.08	**2.13**	2.17	2.22	2.28	2.34	2.40
6.20%	2.00	2.04	2.08	2.12	2.16	**2.21**	2.26	2.32	2.38	2.44	2.52
5.95%	2.07	2.11	2.15	2.20	2.24	**2.30**	2.35	2.42	2.48	2.56	2.64
5.70%	**2.14**	**2.18**	**2.23**	**2.28**	**2.33**	**2.39**	**2.46**	**2.53**	**2.60**	**2.69**	**2.78**
5.45%	2.22	2.27	2.32	2.37	2.43	**2.50**	2.57	2.65	2.73	2.83	2.94
5.20%	2.30	2.35	2.41	2.47	2.54	**2.61**	2.69	2.78	2.88	2.99	3.12
4.95%	2.39	2.45	2.51	2.58	2.66	**2.74**	2.83	2.93	3.04	3.17	3.32
4.70%	2.49	2.56	2.63	2.70	2.79	**2.88**	2.98	3.10	3.23	3.38	3.55

Sensitivity table DCF WACC and Exit Multiple

Sensitivity - Terminal EBITDA Multiple vs. Discount Rate and Implied Share Price from DCF Analysis:

	Terminal EBITDA Multiple:										
Discount Rate (WACC):	9.5 x	10.3 x	11.1 x	11.9 x	12.7 x	13.5 x	14.3 x	15.1 x	15.9 x	16.7 x	17.5 x
6.70%	$ 1.91	$ 1.98	$ 2.06	**$ 2.13**	**$ 2.21**	$ 2.28	$ 2.35	$ 2.43	$ 2.50	$ 2.58	$ 2.65
6.45%	1.94	2.02	2.09	**2.17**	**2.24**	2.32	2.40	2.47	2.55	2.62	2.70
6.20%	1.97	2.05	2.13	**2.21**	**2.28**	2.36	2.44	2.52	2.59	2.67	2.75
5.95%	2.01	2.09	2.16	**2.24**	**2.32**	2.40	2.48	2.56	2.64	2.72	2.80
5.70%	**2.04**	**2.12**	**2.20**	**2.28**	**2.36**	**2.45**	**2.53**	**2.61**	**2.69**	**2.77**	**2.85**
5.45%	2.07	2.16	2.24	**2.32**	**2.41**	2.49	2.57	2.66	2.74	2.82	2.91
5.20%	2.11	2.19	2.28	**2.36**	**2.45**	2.54	2.62	2.71	2.79	2.88	2.96
4.95%	2.15	2.23	2.32	**2.41**	**2.49**	2.58	2.67	2.76	2.84	2.93	3.02
4.70%	2.18	2.27	2.36	**2.45**	**2.54**	2.63	2.72	2.81	2.90	2.99	3.08

WACC Calculation

Discount Rate Calculations - Assumptions:	
Risk-Free Rate:	1.80%
Equity Risk Premium:	8.33%
Pre-Tax Cost of Debt:	5.00%
Historical Beta	0.58

Sheng Siong - Levered Beta & WACC Calculation:	Unlevered Beta	% Debt	% Equity	Tax Rate	Levered Beta
Current Capital Structure:	0.58	17.9%	82.1%	17.0%	

Cost of Equity Based on Historical Beta:	6.63%

WACC = Cost of Equity * % Equity + Cost of Debt * % Debt * (1 - Tax Rate) + Cost of Preferred Stock * % Preferred Stock

WACC, Current Capital Structure and Historical Cost of Equity:	6.19%

Average WACC Produced by All Methods:	6.19%

Directors

Name	Position	Role / Responsibility	Notes / Relationship
Lim Hock Eng	Executive Chairman	Business strategy, administration, new store setup	Founding family (brother of CEO & MD)
Lim Hock Chee	Chief Executive Officer	Overall leadership, operations, business expansion	Founding family (brother of Chairman & MD)
Lim Hock Leng	Managing Director	Operations, seafood supply and quality management	Founding family (brother of Chairman & CEO)
Lin Ruiwen	Executive Director	International business development, merchandising	Next generation (daughter of the Lim Hock Eng)
Lin ZiKai	Director, Customer & Operations	Customer operations, retail execution	Next generation (son of CEO Lim Hock Chee)
Patrick Chee	Lead Independent Director	Legal background; chairs Nominating Committee	Independent
Tan Huay Lim	Independent Director	Former KPMG partner; chairs Audit & Risk Committees	Independent
Tan Poh Hong	Independent Director	Former Deputy CEO of HDB; chairs Remuneration Committee	Independent
Ko Chuan Aun	Independent Director	Business development and advisory experience	Independent
Cheng Li Hui	Independent Director	Finance and operations background	Independent

Financial Statements

SHENG SIONG CASH FLOW STATEMENT				
For the Fiscal Year Ended	**2025**	**2024**	**2023**	**2022**
Net Income	**140.0**	**137.5**	**133.7**	**133.3**
Depreciation & Amort.	61.7	58.5	53.0	52.6
(Gain) Loss From Sale Of Assets	(0.1)	0	0	0
Other Operating Activities	(7.8)	(8.2)	(12.5)	6.7
Change in Acc. Receivable	4.7	8.0	(9.0)	(7.9)
Change In Inventories	(2.0)	(6.6)	9.4	(2.8)
Change in Acc. Payable	15.9	29.8	2.5	(14.9)
Cash from Operations	**212.4**	**219.0**	**177.1**	**166.8**
Capital Expenditure	(19.4)	(18.2)	(10.2)	(8.8)
Sale of Property, Plant, and Equipment	0.2	0.2	0.1	0.1
Cash Acquisitions	(49.0)	(49.0)	-	-
Other Investing Activities	11.7	12.7	11.2	3.7
Cash from Investing	**(56.5)**	**(54.3)**	**1.2**	**(5.0)**
Total Debt Issued	-	-	-	-
Long-Term Debt Repaid	-	(36.5)	(34.2)	(36.9)
Total Debt Repaid	(38.5)	(36.5)	(34.2)	(36.9)
Common Dividends Paid	(96.2)	(96.2)	(92.0)	(94.0)
Total Dividends Paid	**(96.2)**	**(96.2)**	**(92.0)**	**(94.0)**
Other Financing Activities	(4.4)	(4.2)	(3.3)	(2.6)
Cash from Financing	**(139.1)**	**(136.9)**	**(129.5)**	**(133.5)**
Foreign Exchange Rate Adj.	0.8	1.2	0.1	0.5
Net Change in Cash	17.5	29.0	48.9	28.9

SHENG SIONG INCOME STATEMENT				
For the Fiscal Year Ending	**2025**	**2024**	**2023**	**2022**
Revenue	1,479.2	1,428.7	1,367.7	1,339.5
Cost Of Goods Sold	1,023.2	993.2	957.2	946.0
Gross Profit	**456.0**	**435.5**	**410.5**	**393.5**
Selling General & Admin Exp.	312.3	295.0	271.0	250.1
Depreciation & Amort.	-	-	-	-
Other Operating Expense/(Income)	(11.4)	(9.8)	(8.8)	(14.6)
Other Operating Exp., Total	**300.9**	**285.2**	**262.2**	**235.5**
Operating Income	**155.2**	**150.3**	**148.3**	**158.0**
Interest Expense	(4.8)	(4.5)	(3.5)	(2.8)
Interest and Invest. Income	11.7	12.7	11.2	3.7
Net Interest Exp.	**6.9**	**8.3**	**7.7**	**0.9**
Currency Exchange Gains (Loss)	2.5	3.5	1.7	-
EBT Excl. Unusual Items	**164.5**	**162.1**	**157.7**	**158.9**
Other Unusual Items	5.9	5.9	5.4	4.2
EBT Incl. Unusual Items	**170.4**	**168.0**	**163.1**	**163.1**
Income Tax Expense	30.5	30.4	29.1	29.4
Earnings from Cont. Ops.	**139.9**	**137.5**	**134.0**	**133.6**
Net Income to Company	**139.9**	**137.5**	**134.0**	**133.6**

SHENG SIONG BALANCE SHEET				
ASSETS	**2025**	**2024**	**2023**	**2022**
Cash And Equivalents	367.2	353.4	324.4	275.5
Short Term Investments	-	2.5	3.2	2.4
Total Cash & ST Investments	**367.2**	**355.9**	**327.6**	**277.9**
Accounts Receivable	21.8	11.1	12.9	10.0
Other Receivables	-	1.7	6.3	3.1
Total Receivables	**21.8**	**12.8**	**19.2**	**13.1**
Inventory	86.5	98.4	91.8	101.2
Prepaid Exp.	-	5.1	6.2	4.1
Other Current Assets	-	-	-	-
Total Current Assets	**475.5**	**472.3**	**444.7**	**396.2**
Gross Property, Plant & Equipment	620.6	627.5	566.3	555.7
Accumulated Depreciation	(201.8)	(194.6)	(180.8)	(166.8)
Net Property, Plant & Equipment	**418.8**	**432.9**	**385.5**	**388.9**
Other Long-Term Assets	30.0	30.0	-	-
Total Assets	**924.3**	**935.1**	**830.2**	**785.1**
LIABILITIES				
Accounts Payable	207.0	130.0	118.0	127.2
Accrued Exp.	-	71.4	56.9	56.2
Curr. Port. of Leases	41.5	37.7	34.4	33.1
Curr. Income Taxes Payable	32.1	32.7	29.6	35.3
Unearned Revenue, Current	-	7.6	6.2	5.0
Other Current Liabilities	2.4	24.8	18.9	9.1
Total Current Liabilities	**282.9**	**304.3**	**264.0**	**265.8**
Long-Term Debt	-	-	-	-
Long-Term Leases	73.4	87.9	66.9	62.6
Def. Tax Liability, Non-Curr.	0.6	1.3	2.3	1.5
Other Non-Current Liabilities	5.1	3.4	-	-
Total Liabilities	**362.1**	**396.8**	**333.2**	**329.9**
Common Stock	235.4	235.4	235.4	235.4
Retained Earnings	392.4	368.2	327.3	285.7
Treasury Stock	-	-	-	-
Comprehensive Inc. and Other	(68.9)	(68.6)	(68.9)	(68.8)
Total Common Equity	558.9	534.9	493.8	452.2
Minority Interest	3.3	3.4	3.2	2.9
Total Equity	562.2	538.3	497	455.2
Total Liabilities And Equity	**924.3**	**935.1**	**830.2**	**785.1**

AI Declaration

We used GPT-4 to provide feedback on status and overall structure. We are responsible for the content and quality of the submitted work.